

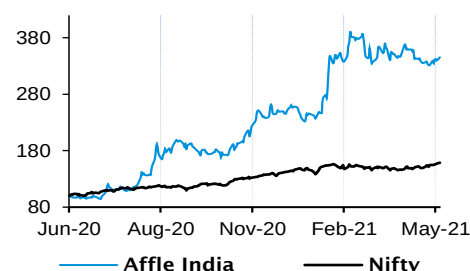
Affle reported a mixed bag of performance vs our expectations. Reported revenue was a big beat on our estimates whereas operating margins were slightly below our estimates. However, it is noteworthy that Q4 is a seasonally weak quarter as Q3 is seasonally the strongest

- **Revenue at INR 1,415.7 Mn, -6% qoq / +77% yoy and 8% above our estimate**
- **EBITDA at INR 344.1 Mn, -10% qoq / +71% yoy and 5% above our estimates**
- **EBITDA margin at 24.3% vs 25.5% / 25.2% in Q3FY21 / Q4FY20 and -70 bps vs our estimates**
- **EBIT at INR 292.4 Mn, -12% qoq / +91% yoy and +5% vs our estimates**
- **EBIT margin at 20.7% vs 22.1% / 19.2% and -50 bps vs our expectations**
- **PAT at INR 586 Mn, +91% qoq / +283% yoy and +130% above our estimates.**
- **However, PAT contained one-time net-gain of INR 331.2 Mn which includes sales of 8% stake in IndusOS in January 2021 (USD 2.86 Mn) – tax outgo on the gain + remeasurement of FV of investment in Bobble AI**
- **Excluding one-off gains, APAT stood at INR 265 Mn, -14% qoq / +73% yoy and +4% vs our estimates**
- **EPS at INR 22.9 vs 12 / 6.1 Q3FY21 / Q4FY20**
- **AEPS stood at INR 10.4 vs 12 / 6.1 Q3FY21 / Q4FY20 and marginally above our est. INR 10**
- **Converted Users in CPCU business stood at 29.6 Mn vs 30.6 Mn / 16.3 Mn in Q3FY21 / Q4FY20**
- **Average CPCU rate stood at INR 40.9 in Q4FY21 vs INR 41 / 40.1 in Q3FY21 / Q4FY20**

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	5120	-4

Market data

Current price	Rs	5306
Market Cap (Rs.Bn)	(Rs Bn)	141
Market Cap (US\$ Mn)	(US\$ Mn)	1945
Face Value	Rs	10
52 Weeks High/Low	Rs	6287/1425
Average Daily Volume	('000)	54
BSE Code		542752
Bloomberg		AFFLE:IN
Source: Bloomberg		

One Year Performance

Source: Bloomberg

% Shareholding	May-21	Mar-21
Promoters	59.89	62.60
Public	40.11	37.40
Others	0.00	0.00
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21E	FY 22E	FY 23E
Net sales	3,338	5,168	6,453	8,137
EBITDA	879	1,297	1,590	2,102
Adjusted net profit	655	1,359	1,221	1,640
Free cash flow	1,179	1,061	1,461	2,149
EPS (Rs)	26.1	53.3	47.9	64.3
growth (%)	30%	104%	-10%	34%
P/E (x)	203.1	99.5	110.8	82.5
P/B (x)	59.0	37.7	28.1	21.0
EV/EBITDA (x)	153.2	104.0	84.1	62.8
ROCE (%)	27.4	19.7	20.5	22.4
RoE (%)	28.6	37.8	25.4	25.4
Dividend yield (%)	-	-	-	-

Source: Company

Mayank Babla
(022) 67141412

mayank.babla@dalal-broacha.com

Conference Call Key Highlights

- **Organic growth stood at 45% YoY as Appnext contributed 18% to revenue or INR 254 mn in Q4FY21** with an EBITDA margin of 18-20%. MediaSmart contributed \$1.5 Mn during the quarter.
- **25-30% top-line CAGR is achievable as companies globally are shifting their budgeted ad spends from traditional channels to mobile ads** | Companies in developed markets have already increased their % spend on mobile or digital ads from 20% earlier to 50% | Expecting EM companies also to follow same trend.
- **Don't see much impact of increased privacy in iOS 14 update:** impact of iOS 14 privacy update is minimal for Affle and for Emerging markets. Additionally, Affle can still advertise effectively even if % consent reaches a certain threshold because algorithms work on similar cluster of users and not individual users.
- **Management has seen trends that users in EMs are inclined to give consent to share data vs emerging markets.**
- **Capitalization amount increased by 10% qoq in Q4FY21 to \$1.55 Mn** and will be higher in Q1FY22 as well in order to support higher growth going ahead.
- **Next Wage Hike will occur in October 2021 while a small % of employees will receive a hike in April as well.** Company shifting to a single wage hike cycle from FY22 vs 2 wage hikes in a year earlier.
- **INR 600 Cr raised through QIP out of 1080 Cr approval taken earlier. These funds will be largely utilized towards M&A activity.** Company is evaluating several potential propositions and will go through only with a company which is a good fit to Affle
- **Exited IndusOS investment in Q4FY21.**

Similar Privacy Updates on Android will take at least 2 – 3 years. Management is sure that ad-tech players will work around these concerns.

Increase in finance cost in Q4 is attributable to 2 things: 1. Financing taken (\$10 Mn) last year to acquire Appnext and 2. Fair Value / Present Value of Contingent considerations to be paid over the next 10 years is categorized under this Finance Costs

Quarterly Performance Analysis

Exhibit 1

Particulars	Q4FY20	FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	
Converted Users (Mn)	16.3	72.3	17.0	28.1	30.6	29.6	Converted users stood at 29.6 Mn in Q4FY21 while Average CPCU rate was flat qoq and up 2% yoy.
	-22%		4%	65%	9%	-3%	
	22%		2%	52%	46%	82%	
Average CPCU (INR)	40.1	41.0	41.0	40.3	41.0	40.9	YoY converted users are not comparable as Q4FY20 did not have Appnext Numbers. Appnext contributed INR 254 Mn to top-line in Q4FY21.
	-2%		2%	-2%	2%	0%	
	0%		0%	-3%	0%	2%	
CPCU Revenue (Mn)	654	2965	697	1132	1255	1211	
	-24%		7%	62%	11%	-4%	
	22%		2%	47%	46%	85%	

Source: Dalal & Broacha Research, Company

Exhibit 2 – Quarterly Trend of Active Deal Pursuits

Business Segments (% of Total Revenue)	FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	
Consumer Platform	97.2%	98.1%	98.5%	98.3%	97.9%	
Enterprise Platform	2.8%	1.9%	1.5%	1.7%	2.1%	
Total	100.0%	100.0%	100.0%	100.0%	100.0%	
Consumer Platform (% of Consumer Platform)	FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	
CPCU	91.4%	79.3%	85.2%	84.8%	87.3%	
Non-CPCU	8.6%	20.7%	14.8%	15.2%	12.7%	
Consumer Platform (Quarterly)	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	
CPCU	654.1	698.4	1132.5	1254.4	1210.0	CPCU business reported a degrowth of 4% qoq as Q4 is generally a seasonally weak quarter
Q-o-Q (%)		7%	62%	11%	-4%	
Y-o-Y (%)					85%	
non-CPCU	126.2	182.3	196.7	224.8	176.0	Enterprise business reported an impressive 16% qoq growth
Q-o-Q (%)		44%	8%	14%	-22%	
Y-o-Y (%)					39%	
Total Consumer Platform	780	881	1329	1479	1386	
Q-o-Q (%)		13%	51%	11.3%	-6.3%	
Y-o-Y (%)					78%	
Enterprise Business (Quarterly)	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	
Enterprise Business	19.9	17.1	20.2	25.6	29.7	
Q-o-Q (%)		-14%	19%	26%	16%	
Total Revenue (Quarterly)	800.2	897.7	1349.5	1504.9	1415.7	

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Affle continued to report stellar numbers with robust double-digit growth coupled with stable margins. Management has indicated that industry is expected to grow at steady double digits with emerging markets outperforming developed markets. Digital ad tech market in India and EMs is expected to grow at least 30% YoY over the next 5 years. This is mainly driven by advertisers shifting the mix of their ad budget from physical to digital and mobile.

Affle is currently trading at 110.8x / 82.5x FY22e / FY23e EPS. Global peers in the ad tech market are trading at 100x+ forward PE, however it would be unwise to compare valuations of EMs to Developed Markets (as DM Tech companies have the capacity to command higher multiples).

Therefore, we generate 2 valuation scenarios for Affle

Case	Top-line Growth	FY23e EPS	Applied P/E Multiple	Target
Base	25% CAGR	64	80	5,120
Bull	30% CAGR	67	84	5,628

In the Base case, we recommend a **“BUY on Dips” strategy** and arrive at an upgraded Target Price of INR 5,120, at a forward multiple of 80x (earlier TP was INR 4,372). In the Bull case, we expect company to record a 30% CAGR and arrive at a TP of INR 5,628, with a forward PE multiple of 84x.

The Long Shot

Affle has put up a phenomenal performance since its listing – which has reflected in the stock price performance as well. Going ahead, we believe that the stock will go into consolidation phase until the company creates a strong moat for itself and fend off any competition that may come about.

Side Note: We believe competition will flow-in in the ad-tech space as standard economics theory plays out in in which an industry reported supernormal growth and profits attracts competitive players.

A story similar to what Naukri faced in the online Job market (competition from Indeed, MonsterJobs, LinkedIn, etc.) should play out in the ad-tech market as well. If Affle manages to withstand the onset of competition and display resilience, we believe that the stock will see major re-ratings in the future.

Financials

Profit & Loss Statement				
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E
Revenue from Operations	3338	5168	6453	8137
% Growth	34%	55%	25%	26%
Operating Expenses				
Inventory and Data Costs	1921	2977	3737	4713
Employee Benefit Expense	273	540	674	753
Other Expenses	265	354	452	570
Total Operating Expenses	2459	3871	4863	6035
EBITDA	879	1297	1590	2102
Growth (%)	25%	48%	23%	32%
EBITDA Margin (%)	26%	25%	25%	26%
Less: Depreciation	133	197	255	287
EBIT	746	1100	1335	1815
Growth (%)	24%	48%	21%	36%
EBIT Margin (%)	22%	21%	21%	22%
Interest Paid	14	36	12	10
Other Income	61	415	65	58
PBT	792	1479	1387	1863
Tax Expenses	137	120	166	224
Net Profit	655	1359	1221	1640
Adjust PAT	655	1359	1221	1640
Growth (%)	34%	107%	-10%	34%
APAT Margin (%)	20%	26%	19%	20%
EPS	26	53	48	64
Growth (%)	30%	104%	-10%	34%

Financial Ratio Analysis				
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E
Profitability Ratios				
ROE (%)	29%	38%	25%	25%
ROCE (%)	27%	20%	21%	22%
ROA (%)	12%	12%	10%	11%

Financial Leverage Ratios				
Debt / Equity (x)	0.3x	0.3x	0.2x	0.1x
Interest Coverage (x)	62x	36x	134x	218x
Interest / Debt (%)	2%	3%	1%	1%

Asset Turnover Ratios				
Debtors (Days)	110	118	110	105
Creditors (Days)	81	76	76	70

Valuation Ratios				
Book Value (Rs.)	90	141	189	253
P/E (x)	203	100	111	83
P/BV (x)	59	38	28	21
EV/EBITDA (x)	153	104	84	63
Market Cap. / Sales (x)	41	26	21	17
Net Cash / Mkt Cap (%)	0%	0%	1%	2%
Dividend Yield (%)	0	0	0	0

Free Cash Flow Statement				
INR Mn	FY20	FY21	FY22E	FY23E
EBITDA	879	1297	1590	2102
FC Investment	9	199	300	300
WC Changes	134	-158	-51	60
Depreciation Tax Shield	23	16	31	34
Tax Expenses	152	105	191	252
FCFF	1179	1061	1461	2149

Balance Sheet				
Particulars	FY20	FY21	FY22E	FY23E
EQUITY				
Equity Share Capital	255	255	255	255
Other Equity	2037	3337	4558	6197
Total Equity	2292	3592	4813	6452
LIABILITIES				
Non-Current Liabilities				
Financial Liabilities				
Borrowings	281	893	593	543
Other Non-Current Financial Liabilities	118	1067	1067	1067
Total Non-Current Liabilities	433	1998	1685	1635
Current Liabilities				
Financial Liabilities				
Borrowings	357	275	225	175
Trade Payables				
Others	743	1256	1466	1736
Other Financial Liabilities	70	242	270	301
Total Current Liabilities	1276	1936	2067	2322
Total Equity and Liabilities	4000	7526	8565	10409
Non-Current Assets				
Property Plant & Equipment				
Gross Block	24	223	523	823
Less: Depreciation	14	210	466	753
Net Block	10	13	57	70
Total Non-Current Assets	1689	5018	5461	5779
Current Assets				
Financial Assets				
Trade Receivables	744	1079	1344	1561
Cash and Cash Equivalents	696	491	1048	2379
Other Bank Balances	569	141		
Total Current Assets	2321	2507	3104	4630
Total Assets	4010	7525	8565	10409

Cash Flow Statement				
Particulars	FY20	FY21	FY22E	FY23E
PAT	655	1359	1221	1640
Less: Non Operating Income	-61	-415	-65	-58
Add: Depreciation	133	197	255	287
Add: Interest Paid	14	36	12	10
Operating Profit before WC Changes	742	1177	1424	1879
(Inc)/Dec in Current Assets	-370	-818	-182	-195
Inc/(Dec) in Current Liabilities	504	660	131	254
Net Cash Generated From Operations	876	1019	1373	1938
Cash Flow from Investing Activities				
(Inc)/Dec in Fixed Assets	-1182	-2547	-448	-355
(Inc)/Dec in Investment (Strategic)	-37	-978	-250	-250
Add: Non Operating Income Income	61	415	65	58
Net Cash Flow from Investing Activities	-1169	-3110	-634	-547
Cash Flow from Financing Activities				
Inc/(Dec) in Total Loans	329	1562	-300	-50
Less: Interest Paid	-14	-36	-12	-10
Net Cash Flow from Financing Activities	1244	1470	-325	-60
Net Inc/Dec in cash equivalents	950	-622	414	1331
Opening Balance	305	1265	632	1048
Closing Cash and Cash Equivalents	1255	643	1047	2379

Source: Dalal & Broacha Research, Company

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Name	Designation	Email	Phone	Sector
Mr. Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Auto Auto Ancillary FMCG
Mrs.Charulata Gaidhani	Sr. Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr. Mayank Babla	Sr. Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr. Avinash Tanawade	Sr. Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr. Akshay Ashok	Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Ms. Timshar Dhamodiwala	Associate	timshar.dhamodiwala@dalal-broacha.com	022 67141441	IT Telecom Media

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400021.

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: equity.research@dalal-broacha.com